

SBC explained its rosy new expectations by noting that “for each of the three years ended 2001, our actual 10-year return on investments exceeded 10%.” In other words, our past returns have been high, so let’s assume that our future returns will be too. But that not only flunked the most rudimentary tests of logic, it flew in the face of the fact that interest rates were falling to near-record lows, depressing the future returns on the bond portion of a pension portfolio.

The same year, in fact, Warren Buffett’s Berkshire Hathaway *lowered* the expected rate of return on its pension assets from 8.3% to 6.5%. Was SBC being realistic in assuming that its pension-fund managers could significantly outperform the world’s greatest investor? Probably not: In 2001, Berkshire Hathaway’s pension fund gained 9.8%, but SBC’s pension fund lost 6.9%.^{[6](#)}

Here are some quick considerations for the intelligent investor: Is the “net pension benefit” more than 5% of the company’s net income? (*If so, would you still be comfortable with the company’s other earnings if those pension gains went away in future years?*) Is the assumed “long-term rate of return on plan assets” reasonable? (*As of 2003, anything above 6.5% is implausible, while a rising rate is downright delusional.*)

Caveat Investor

A few pointers will help you avoid buying a stock that turns out to be an accounting time bomb:

Read backwards. When you research a company’s financial reports, start reading on the last page and slowly work your way toward the front. Anything that the company doesn’t want you to find is buried in the back—which is precisely why you should look there first.

Read the notes. *Never* buy a stock without reading the footnotes to the financial statements in the annual report. Usually labeled “summary of significant accounting policies,” one key note describes how the company recognizes revenue, records inventories, treats installment or contract sales, expenses its marketing costs, and accounts for the other major aspects of its business.^{[7](#)} In the other footnotes, watch for disclosures about debt, stock options, loans to customers, reserves against losses, and other “risk factors”